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Sweden: Carnegie Investment Bank AB Emergency Liquidity Program, 2008¹

Sophie Alden² and Jack French³

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Abstract

In October 2008, Carnegie Investment Bank AB (Carnegie) had trouble obtaining financing amid concerns about its financial health. However, Sweden's central bank, the Sveriges Riksbank (Riksbank), and the Swedish Financial Supervisory Authority (FSA) still viewed Carnegie as solvent. Between October 27 and 28, the Riksbank lent Carnegie 2.4 billion Swedish kronor (SEK). As collateral for the loan, Carnegie and its holding company, D. Carnegie & Co. AB (D. Carnegie), provided all shares and subsidiaries in Carnegie as well as all shares in a sister subsidiary under D. Carnegie, Max Matthiessen Holding AB (Max Matthiessen). On November 10, 2008, the FSA revoked Carnegie's bank and securities licenses, and the Swedish National Debt Office (NDO) took over the loan from the Riksbank, alerted the holding company that it had taken over the collateral, and became the sole shareholder of Carnegie and Max Matthiessen. Later that day, the FSA reversed its decision and allowed Carnegie to retain its licenses and remain operational. In separate transactions, the NDO sold Carnegie and Max Matthiessen to joint ventures of private equity groups Altor Equity Partners and Bure Equity AB in February 2009 for a combined SEK 2.3 billion. D. Carnegie objected to the way the NDO took over and valued the shares in Carnegie and Max Matthiessen but ultimately lost its appeal through the Swedish administrative process in October 2011. The Swedish state's support to Carnegie to ensure financial stability in 2008 would be paid back with an estimated surplus generated for the taxpayer in the range of SEK 150 million to SEK 400 million.

Keywords: emergency liquidity assistance, Sweden, Riksbank

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc emergency liquidity provision. A survey of all the cases in this series (Kelly et al. 2025) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/>. Wiggins et al. (2022) surveys broad-based emergency liquidity programs.

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Overview

This case study describes the emergency liquidity assistance the Sveriges Riksbank (Riksbank) provided to Carnegie Investment Bank AB (Carnegie) during the Global Financial Crisis (GFC).

Carnegie was one of the biggest investment banks in the Nordic region as of September 30, 2008, with assets under management of about 122 billion Swedish kronor (SEK; USD 17.6 billion)⁴ and deposits of about SEK 2.5 billion (EC 2008). However, the company was still recovering from one of Sweden's biggest financial scandals the year prior in which three of its traders had overstated their profits, leading to high-level company and government resignations and a warning of revoking bank and securities market licenses from Sweden's Financial Supervisory Authority (FSA) (EC 2008; Ibison 2007; NYT 2007).

On October 24, 2008, Carnegie's holding company, D. Carnegie & Co. AB (D. Carnegie), published an interim third-quarter report that showed a concentrated exposure of SEK 1 billion to a single borrower (Carnegie 2008; EC 2008). Carnegie's credit exposure (a credit line provided to a Swedish financier) was backed by collateral composed mainly of shares of the public company Hexagon, rendering Carnegie dependent on the movement in Hexagon's stock prices. When the share price fell by 35% from August to September 2008, Carnegie became noncompliant with the regulation that limited large exposures to individual institutions. Carnegie was required to report this breach to the FSA, which led to a supervisory investigation, amid other ongoing cases over governance issues (Riksbank 2020). This investigation came

Key Terms

Purpose: to "reduce the risk of a serious disruption to the financial system" and help what was seen as a solvent bank with liquidity issues partially created by the financial crisis (Riksbank 2008a, 1)

Announcement Date	October 27, 2008
Operational Date	October 27, 2008
Termination Date	Collateral transferred to the NDO on November 10, 2008
Legal Authority	Chapter 6, Section 8 of the Sveriges Riksbank Act
Administrator	Riksbank, later by the National Debt Office
Peak Authorization	SEK 5 billion
Peak Outstanding	SEK 2.4 billion
Collateral	Carnegie and Max Matthiessen were pledged as collateral along with bonds, claims against subsidiaries of Carnegie, and claims relating to repo transactions
Haircut and Recourse	No information
Interest Rate and Fees	Riksbank repo rate plus 150 basis points
Term	No set end date
Part of a Package	Debt guarantees, deposit guarantees
Outcomes	Collateral was transferred to the NDO on November 10, 2008; Carnegie and Max Matthiessen were sold in February 2011 to private equity groups; a surplus was generated for the Swedish taxpayer

(continued)

⁴ According to FRED, USD 1 = SEK 6.95 on September 30, 2008.

with a higher risk that the FSA would revoke Carnegie's licenses following the previous warning in 2007 (EC 2008; Riksbank 2020). The uncertainty around the situation, combined with the growing financial crisis and credit market issues, limited Carnegie's ability to access liquidity through interbank funding markets (Carnegie 2009).

Notable Features

The NDO took over the bank after the regulator revoked its license; the regulator then reinstated the license. The Riksbank required holding company D. Carnegie to post all shares and subsidiaries in Carnegie and Max Matthiessen to back the loan

Authorities at the FSA, the National Debt Office (NDO),⁵ and the Riksbank made clear that a payment default by Carnegie could have led to a serious disruption of the greater Swedish financial system. The Riksbank therefore stepped in on October 27 with a liquidity line of up to SEK 1 billion, which Carnegie used in its entirety that day. The Riksbank increased the line to SEK 5 billion the following day, and Carnegie drew an additional SEK 1.4 billion. In exchange for the loan, Carnegie and its holding company pledged as collateral all shares in Carnegie, various bonds, claims of Carnegie against its subsidiaries, claims related to repurchase agreement (repo) operations, as well as all shares in another subsidiary under D. Carnegie, Max Matthiessen Holding AB (Max Matthiessen) (EC 2008).

On October 29, Sweden passed the Support to Credit Institutions Act (Support Act), which made the NDO the authority for helping struggling Swedish banks (EC 2008; Riksbank 2020). As described in Figure 1, on November 10, in a rapid chain of events, the FSA withdrew Carnegie's banking and securities licenses; the NDO paid back the loan to the Riksbank; the NDO acquired the collateral and became the sole shareholder of Carnegie and Max Matthiessen; and the FSA reversed its decision, allowing Carnegie to retain its licenses and keep operating (EC 2008).

The NDO decided to sell Carnegie separately from Max Matthiessen in February 2009 for a combined SEK 2.3 billion (Reuters 2008; Riksgälden n.d.). In two different transactions, venture capital company Altor Equity Partners and investment company Bure Equity AB together purchased Carnegie and Max Matthiessen from the NDO (Carnegie 2009). The Riksbank netted SEK 5 million in interest from its part of the operation (Riksbank 2020).

The litigation between the NDO and D. Carnegie surrounding the takeover of Carnegie and Max Matthiessen ended on November 30, 2011, with D. Carnegie giving up its demand on the NDO of just over SEK 8 billion. According to the NDO, this closure to the litigation means the state will be paid in its entirety for the support given to Carnegie, with a surplus generated for the taxpayer in the range of SEK 150 million to SEK 400 million (Riksgälden n.d.).

⁵ The National Debt Office is the Swedish state's arm for financial administration and is responsible for the government's cash and debt management (EC 2008).

Figure 1: Timeline of Intervention in Carnegie Investment Bank AB Liquidity Crisis

Date	Event
Sept. 28, 2007	Sweden's FSA fines holding company D. Carnegie, asks board to step down after trading scandal, states they could have pulled Carnegie's license.
Oct. 24, 2008	D. Carnegie publishes interim report for Q3 2008, which contains information on impairment of SEK 1 billion coming from an individual credit commitment.
Oct. 25, 2008	Carnegie applies to the Riksbank for liquidity support.
Oct. 26, 2008	Riksbank decides to grant emergency liquidity assistance to Carnegie.
Oct. 27, 2008	Riksbank announces a credit line of up to SEK 1 billion to Carnegie; Carnegie immediately draws the entire SEK 1 billion.
Oct. 28, 2008	Riksbank increases the credit line to SEK 5 billion; Carnegie draws SEK 1.4 billion (for total assistance of SEK 2.4 billion).
Nov. 10, 2008	10:00 am: Sweden's NDO takes over loan to Carnegie maximum of SEK 5 billion maintained. 2:30 pm: FSA pulls Carnegie's permits for conducting banking and securities operations. 3:00 pm: NDO takes over Carnegie and Max Matthiessen (now considered former subsidiaries of D. Carnegie).
Nov. 14, 2008	New board of directors appointed at Carnegie NDO initiates divestment process.
Feb. 11, 2009	Altor Equity Partners and Bure Equity AB sign agreements to acquire all shares in Carnegie and Max Matthiessen.

Source: Authors' analysis.

Summary Evaluation

The takeover of Carnegie was controversial at the time. The former owners of D. Carnegie believed the takeover was done improperly and sued (The Local SE 2010). Some at D. Carnegie expressed concerns about how the NDO exercised the takeover without the loan being due and questioned if the valuation of the shares was performed correctly according to the agreement in which Carnegie and Max Matthiessen were pledged as collateral (Reuters 2008). However, Carnegie lost its appeal when the Appeals Board determined that the NDO was right to make a valuation change for the shares in Carnegie without permission (as at the time of the takeover, no valuation of the pledged shares in Carnegie and Max Matthiessen existed) in order to conduct banking and securities operations (Reuters 2008; Riksgälden n.d.). The NDO stated that the purpose of taking over Carnegie was to protect the stability of the financial system and to preserve the value of the Swedish state's emergency liquidity support to Carnegie (Riksgälden n.d.).

In terms of the valuation of Carnegie and Max Matthiessen performed at the time of the takeover, D. Carnegie believed the valuation of the shares should have been done as if the

bank still had its license at going concern value, whereas the NDO believed it was fair to value the shares without a license at liquidation value. By revoking the license and reinstating it 10 minutes later, there was little opportunity for anyone to challenge the valuation proposed by the NDO, particularly given the difficulty of valuing a bank with no banking license. The Appeals Board ultimately found that the shares should have been valued as if Carnegie's licenses had been revoked, and therefore not as a going concern (Wenne 2014).

In a 2011 report, the IMF said that within the context of Carnegie, that it may have been desirable to further specify the rules of the Support Act, particularly the principle around preventing a company's shareholders from benefiting from State Aid. Under the Support Act, the valuation of the shares must be done as if the company had not received State Aid. The IMF suggested that one possibility was to consider the institution's situation at the moment immediately before the takeover and then determine what the financial situation would have been without any direct or indirect State Aid, emergency liquidity, or public guarantees (IMF 2011).

The European Commission (EC) report found that the State Aid was compatible with the common market under Article 87(3) (b) of the EC Treaty (EC 2008). The EC noted the speed of the intervention and the fact that the owners contributed to the costs of restructuring (The Local SE 2010). D. Carnegie was able to reach an agreement with the NDO by accepting the verdict of the district court and giving up demands of more than SEK 8 billion (Riksgälden n.d.).

Context: Sweden 2008–2009	
GDP (SAAR, nominal GDP in USD)	\$514.6 billion in 2008
	\$434.3 billion in 2009
GDP per capita (SAAR, nominal GDP in USD)	\$55,817.4 in 2008
	\$46,707.9 in 2009
Sovereign credit rating (long-term debt)	Moody's: Aaa in 2008
	S&P: AAA in 2008
	Fitch: AAAu in 2008
	Moody's: Aaa in 2009
	S&P: AAA in 2009
	Fitch: AAAu in 2009
Size of banking system	\$654.6 billion in 2008
	\$585.5 billion in 2009
Size of banking system as a % of GDP	127.2% in 2008
	134.8% in 2009
Size of banking system as a % of financial system	Data not available in 2008
	Data not available in 2009
Five-bank concentration of banking system	98.5% in 2008
	97.9% in 2009
Foreign involvement in banking system	0% in 2008
	0% in 2009
Existence of deposit insurance	Yes in 2008
	Yes in 2009

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

Key Design Decisions

1. Purpose: The Riksbank granted a liquidity line to Carnegie to safeguard the stability of Sweden's financial system.

In 2007, Carnegie's securities division was one of the largest participants in equity trading within the Nordic region, which includes Denmark, Finland, Norway, and Sweden. By September 30, 2008, as the Global Financial Crisis worsened, Carnegie had around SEK 2.5 billion of deposits from more than 4,000 depositors in Sweden (EC 2008). Authorities at Sweden's Riksbank believed Carnegie's disorderly failure could result in damage to the broader Swedish financial system; They were, in addition, focused on insulating Sweden from the turmoil of the GFC broadly and the crises in the Baltics and Iceland specifically.

The poor interbank lending conditions in fall 2008, combined with a third-quarter earnings report showing an exceptionally large credit exposure of SEK 1 billion in a single engagement, created a need for liquidity at Carnegie that the market was not meeting (EC 2008). Carnegie's credit exposure consisted of a credit line to a Swedish financier that was collateralized largely by shares of a public company, Hexagon, whose value had dropped by 35% between August and September. Figure 2 shows the share price of the stock used as collateral. Carnegie became noncompliant with the regulation limiting the size of individual exposures as a result of the decline in value. Carnegie also had other ongoing cases with the FSA at the time regarding governance and control concerns (Riksbank 2020).

Figure 2: Carnegie Credit Exposure, Posted Collateral: Shares of Hexagon (in SEK)



Source: Yahoo Finance, ticker = HEXA-B.ST.

The Riksbank granted Carnegie a loan of SEK 1 billion on October 27 to help the bank with liquidity issues and to “reduce the risk of a serious disruption to the financial system”

(Riksbank 2008a, 1; Riksbank 2008e). The decision to provide liquidity was made on October 26 and announced on October 27 (Riksbank 2008a; Riksbank 2008c). There were also concerns that a suspension of payments by Carnegie could damage confidence in Sweden's payment system (Riksbank 2008c). The Riksbank increased the size of the loan on October 28, at Carnegie's request, to a maximum of SEK 5 billion, of which the bank drew SEK 1.4 billion, bringing the total amount drawn to SEK 2.4 billion (Riksbank 2008b).

At the time, the Riksbank and the FSA viewed Carnegie as a solvent institution (Riksbank 2008a; Riksbank 2008b). When announcing the increase in the size of the credit line to SEK 5 billion on October 28, the Riksbank noted that the decision was based on an assessment "that the bank is suffering temporary liquidity problems, but that its solvency is not threatened" (Riksbank 2008b, 1).

On November 10, 2008, the board of directors of Carnegie's parent company, D. Carnegie, presented a solution to the NDO, the Riksbank, and the FSA to issue new shares of SEK 1.2 billion and to appoint new principal owners for Carnegie. That same day, the FSA decided to revoke Carnegie's banking and securities licenses (Carnegie 2009; Wenne 2014). The FSA's announcement about the revocation noted that the plan had elements of uncertainty that made it difficult to determine if it could succeed (FSA 2008). The government also considered injecting capital by purchasing preference shares in D. Carnegie but decided there was too much uncertainty associated with that path as well. Additionally, the NDO considered allowing Carnegie to go through liquidation proceedings while the state guaranteed "protectable" creditors against liquidation-related losses but decided against it on the basis that a prolonged liquidation process would have led to a rapid decline in Carnegie's value (Riksgälden 2008b, 2). Such a decline would potentially have borne significant costs to the Swedish state owing to the associated guarantees and violate the NDO's mandate under the Support Act to minimize the state's costs when supporting credit institutions (Riksgälden 2008b).

Riksbank governor Stefan Ingves said in a speech on November 13, 2008, that once the FSA withdrew the banking license, the Riksbank had to withdraw liquidity assistance because Carnegie no longer qualified for that type of credit. The NDO subsequently repaid the Riksbank for Carnegie's loan and assumed ownership of the bank. Ingves applauded Sweden's highest legislative body for giving the NDO the power to take over banks that were ineligible for Riksbank assistance, had to default on its obligations, and were a threat to financial stability (Ingves 2008).

2. Part of a Package: Carnegie participated in the Swedish government's debt guarantee program and was eligible for its deposit guarantee scheme.

Carnegie was eligible for Sweden's programs for deposit guarantees and debt guarantees (Engbith and Kiernan 2020, 917). Carnegie issued bonds worth SEK 935 million under the government's debt guarantee program (Carnegie 2009).

3. Legal Authority: The Riksbank granted the loan under Chapter 6, Section 8 of the Sveriges Riksbank Act.

The Riksbank granted the loan under the authority of Chapter 6, Section 8 of the Sveriges Riksbank Act. The provision states that, in exceptional circumstances, the Riksbank can grant credit to banks and companies supervised by the FSA on special terms with the purpose of supporting liquidity (Riksbank 2008a). The Riksbank Act does not define exceptional circumstances or specify a solvency requirement for aid. However, the press release specified that the Riksbank and the FSA viewed Carnegie as solvent (Riksbank 2008a; Riksbank 2010).

The Swedish NDO's loan replacing the Riksbank's loan was based on the Support to Credit Institutions Act, which was passed on October 29, 2008, to support financial institutions undergoing reconstruction and prevent a major disruption to the financial system (EC 2008; Riksbank 2020). The legislation made the NDO, rather than the Riksbank, responsible for providing assistance to banks in distress (EC 2008). The NDO's normal roles included managing central government debt, government loans and guarantees, bank support, and deposit insurance (Government Offices of Sweden n.d.). The EC approved the Support Act in a State Aid decision published on December 3, 2008 (EC 2008).

Sweden's FSA has authority to revoke an institution's licenses under Chapter 15, Section 1, Paragraph 2 of the Banking and Finance Business Act (Ministry of Finance of Sweden 2004).

The EC concluded that the aid from the Riksbank and the NDO was State Aid and that it was compatible with the common market pursuant to Article 87(3) (b) of the EC Treaty (EC 2008).

4. Administration: The Riksbank granted the initial aid to Carnegie , while a second loan replacing the Riksbank's aid came from the National Debt Office.

Carnegie applied for special liquidity assistance from the Riksbank for the initial loan of SEK 1 billion and again for a further line of SEK 4 billion, bringing the total ceiling to SEK 5 billion (Riksbank 2008c; Riksbank 2008e). On November 10, 2008, the NDO signed a loan agreement with Carnegie totaling SEK 2.4 billion, which equaled the amount Carnegie had borrowed from the Riksbank plus interest and costs associated with the loan agreement. This was done so that the NDO loan to Carnegie could directly repay the Riksbank and shift the credit exposure to the NDO. The NDO could provide a maximum liquidity of SEK 5 billion, and the collateral and interest rate stayed the same as established under the Riksbank liquidity aid (EC 2008). The Riksbank said it would be more appropriate for the NDO to handle the assistance to Carnegie given the new legislation around bank support (see Key Design Decision No. 3, Legal Authority) (Riksbank 2008d). The same day, after the withdrawal of Carnegie's bank and securities licenses, the NDO took ownership of the collateral and became the sole shareholder of Carnegie and Max Matthiessen (EC 2008).

According to Riksbank governor Stefan Ingves, there was significant coordination between the Riksbank, the FSA, and the NDO to keep Carnegie stable during the process of liquidity support, state ownership, and privatization. Ingves said the three authorities followed an

“almost minute by minute” plan to ensure Carnegie's stability and compliance with all legal requirements. Ingves also said that the Riksbank coordinated closely with Carnegie, particularly with respect to raising its loan limit from SEK 1 billion to SEK 5 billion, which he said required “many hours of intensive work” within the Riksbank and between the Riksbank and Carnegie.

The Executive Board of the Riksbank approved the amount, price, and maturity of the loan, while assigning two board members to jointly decide the detailed terms (Riksbank 2008c; Riksbank 2008e).

5. Governance: The Financial Supervisory Authority revoked Carnegie's licenses and the emergency liquidity assistance was subject to EC State Aid rules.

The Riksbank provided the initial loans, and the NDO took over following new legislation that made the NDO, instead of the Riksbank, responsible for banks in distress (EC 2008). A 2022 Riksbank press release described the NDO's current functions as managing banks and credit institutions with the goal of maintaining financial stability and protecting the taxpayers. The FSA handles supervision of financial institutions and analyzes and counteracts risks in different areas of the financial system (Riksbank 2022a).

In 2007, before the issues that precipitated government involvement in 2008, the FSA fined D. Carnegie for failure to supervise its traders and asked that the entirety of the board of directors step down (NYT 2007). In November 2008, the FSA made the assessment that Carnegie should not have a permit on the basis of the ongoing issues around internal governance and the failure to come up with a plan that the FSA believed would succeed. Carnegie offered a plan involving a new share issue, but the FSA said it had elements of uncertainty that made it difficult to assess (FSA 2008).

The FSA revoked Carnegie's licenses on November 10, 2008, and the bank was taken over that day by the NDO per the loan agreement between Carnegie and the NDO in which the bank was posted as collateral. Afterward, the FSA reversed its decision to withdraw Carnegie's licenses and noted the ownership change and sufficient guarantees addressing governance issues as rationale for why the bank could be allowed to continue operating (EC 2008).

Sweden informed the EC about the aid to Carnegie on November 26, 2008. The EC wrote a report on the aid and found it compatible with the common market under Article 87(3) (b) of the EC Treaty (EC 2008).

6. Communication and Disclosure: The initial loan to Carnegie, the increase in the loan amount, and the transfer of the loan to the Swedish National Debt Office were all announced in press releases.

The Riksbank announced in press releases the initial SEK 1 billion loan to Carnegie on October 27, 2008, as well as the increase of the line up to SEK 5 billion the following day (Riksbank 2008a; Riksbank 2008b). The decision to provide liquidity was made on October 26 and announced on October 27 (Riksbank 2008c). The Riksbank said the loan was

collateralized and without a preset end date. The press release also briefly described Carnegie's operations and the liquidity problems the bank faced as well as the Riksbank's authority for granting such a loan. The release included a quote from the Riksbank's governor, who said the liquidity assistance was put in place to "reduce the risk of a serious disruption to the financial system" (Riksbank 2008a, 1).

The Riksbank's 2008 annual report disclosed the size of the loans to Carnegie as well as the profit earned from the operation and the ultimate transition of the loan to the NDO (Riksbank 2009, 30–31, 43). The Riksbank is required to report information including its balance sheet and profit and loss in its annual report (Riksbank 2010).

The press releases noted that both the Riksbank and the FSA viewed Carnegie as solvent (Riksbank 2008b). The Riksbank also released documents containing information on the maturity and interest rate for the loans (Riksbank 2008c; Riksbank 2008e).

The announcement that the NDO was taking over the loan came out the same day the decision to withdraw licenses was made and cited reasons for why it was appropriate for the Debt Office to be responsible for the loan given the new bank support legislation (Riksbank 2008d). News sources covered Carnegie's objections to the takeover (Reuters 2008).

7. Source and Size of Funding: The initial credit line to Carnegie was SEK 1 billion, which the Riksbank raised to SEK 5 billion the following day, with a peak usage of SEK 2.4 billion.

The Riksbank's initial October 27 liquidity line was for up to SEK 1 billion, which Carnegie used that day. The Riksbank increased the line the next day to SEK 5 billion. Carnegie drew an additional SEK 1.4 billion on October 28 for a total of SEK 2.4 billion in liquidity assistance outstanding. The details of the collateral provided by Carnegie to the Swedish authorities was not disclosed but included all shares in Max Matthiessen and Carnegie Bank, repo transactions, all claims on Carnegie subsidiaries, and various bonds. It was noted that Swedish authorities took the uncertainty of the FSA's investigation into account when moderately valuing the collateral (EC 2008).

When the NDO took over the liquidity line, it also granted a maximum of SEK 5 billion available and loaned out the amount Carnegie drew from the Riksbank plus the interest Carnegie owed to the Riksbank and costs incurred in providing the loan. That payment transferred Carnegie's debt from the Riksbank to the NDO (EC 2008).

8. Rates and Fees: The Riksbank charged the repo rate, now called the Riksbank's policy rate, plus 150 basis points for the loans made to Carnegie Investment Bank AB.

The rate for both the October 27, 2008 loan and the October 28 extension was set to the Riksbank repo rate plus 150 basis points (bps) (Riksbank 2008c; Riksbank 2008e). This would have been 5.75% total at the time given the Swedish repo rate of 4.25% on October 27 and 28 (BIS 2023). As of June 8, 2022, the repo rate is now called the Riksbank's policy rate (Riksbank 2022b).

The EC noted that the 150 bps premium exceeded its guidance of 50 bps, but agreed with the Swedish authorities that the larger premium reflected the risks involved and was sufficiently high such that Carnegie would not draw on the loan more than was absolutely necessary (EC 2008).

9. Loan Duration: The loans to Carnegie did not have a set maturity.

Both of the loans were given a term of “until further notice” (Riksbank 2008c, 1; Riksbank 2008e). Carnegie repaid the Riksbank within a couple of weeks when the NDO took over Carnegie on November 10, 2008 (EC 2008). On the same day, the FSA decided to withdraw Carnegie’s permits for banking and securities operations (Carnegie 2009). Immediately afterwards, the NDO decided to take ownership of both Carnegie and Max Matthiessen which had been pledged as collateral (EC 2008).

Carnegie’s permits were reinstated later that day, and the FSA issued a warning instead (Carnegie 2009). The NDO appointed a new board of directors to Carnegie on November 14, 2008, at which point the office began the process of divesting the bank (Carnegie 2009; Riksgälden 2008a). The NDO announced the sale of Carnegie to investment firms Altor Equity Partners and Bure Equity AB on February 11, 2009 (Carnegie 2009). The sale went through on May 19, 2009, for a total of SEK 1.7 billion in cash and earn-out payments (FactSet 2009b). Altor Equity Partners and Bure Equity AB also acquired Max Matthiessen for SEK 500 million in cash, less any potential dividends owed to NDO (FactSet 2009a).

The Riksbank netted SEK 5 million in interest from its part of the operation (Riksbank 2020).

10. Balance Sheet Protection: Carnegie Investment Bank AB and Max Matthiessen Holding Company were pledged as collateral.

Ownership of D. Carnegie & Co.’s two subsidiaries, Carnegie Investment Bank AB and Max Matthiessen Holding AB, a holding company for Swedish insurance company Max Matthiessen AB, were pledged as collateral for the loan from the Riksbank. There was also collateral in the form of bonds, claims against Carnegie’s subsidiaries (Carnegie Bank A/S and Banque Carnegie Luxembourg S.A.), and claims related to repo transactions. The total of the collateral was valued in the billions of Swedish kronor, but the precise amount was not disclosed in the EC report. The Riksbank had the ability to call the loan at any time (EC 2008).

In the NDO arrangement, there was a clause that would allow the NDO to take over the collateral if the bank license was revoked (EC 2008). Carnegie objected to the NDO’s seizing of the collateral without a loan actually being due and without a valuation of the pledged shares. The NDO decided that it would be best to sell the two companies separately, given the differences in the potential buyers (Reuters 2008).

11. Impact on Monetary Policy Transmission: The Riksbank withdrew surplus liquidity in part through its fine-tuning operations and its Riksbank Certificate issues.

The Riksbank's aid to Carnegie also created excess liquidity in the interbank market. To address this, the Riksbank withdrew liquidity through its daily fine-tuning operations and by issuing Riksbank Certificates with a one-week maturity (Riksbank 2009).

12. Other Conditions: While our research did not find information about conditions attached to the loan specifically, Carnegie had been warned the previous year about issues relating to governance.

While there was no information regarding other conditions attached to the loan from the Riksbank, there were serious governance issues with Carnegie in 2007 that yielded a warning from the FSA. The European Commission report stated that it was clear that any new irregularities found would come with a large risk of the FSA revoking Carnegie's bank and securities market licenses (EC 2008).

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